

Law & Motion
Add On

21. 9:00 AM CASE NUMBER: C23-02820
CASE NAME: ILIANA REYES VS. DOES 1 THROUGH 50, INCLUSIVE
***HEARING ON MOTION IN RE: PRELIMINARY APPROVAL**
FILED BY:

TENTATIVE RULING:

The motion is **granted**.

Plaintiff Iliana Reyes moves for preliminary approval of her class action and PAGA settlement with defendants Firstamerica Automotive, Inc., Firstamerica Automotive, LLC, Sonic Automotive Inc., Beverly Hills BMW, and Echo Park Automotive.

A. Background and Settlement Terms

The original complaint was filed by Ms. Reyes on November 6, 2023, raising class action claims on behalf of non-exempt employees, alleging that defendant violated the Labor Code in various ways, including failure to pay minimum and overtime wages, failure to provide meal breaks, failure to provide proper wage statements, failure to reimburse necessary business expenses, and failure to pay all wages due on separation. Plaintiff filed a First Amended Complaint on January 10, 2024 adding PAGA claims. The operative pleading is the First Amended Complaint.

The settlement would create a gross settlement fund of \$1,800,000. The class representative payment to plaintiff would be up to \$10,000. Attorney's fees would be \$600,000 (one-third of the settlement). Litigation costs would not exceed \$25,000. The settlement administrator's costs would not exceed \$30,000. PAGA penalties would be \$200,000, resulting in a payment of \$150,000 to the LWDA and \$50,000 to plaintiffs. The net amount paid directly to the class members would be about \$935,000. The fund is non-reversionary. Based on the estimated class size of 4,571, the average net payment for each class member is approximately \$204.

The proposed settlement would certify a class of all current and former non-exempt employees employed by Defendants during the class period.

The class members will not be required to file a claim. Class members may object or opt out of the settlement. (Aggrieved employees cannot opt out of the PAGA portion of the settlement.) Funds would be apportioned to class members based on the number of workweeks worked during the class period.

Various prescribed follow-up steps will be taken with respect to mail that is returned as undeliverable. Checks undelivered or uncashed 180 days after mailing will be voided, and would be paid to a cy pres recipient, “No Kid Hungry.”

Counsel must “notify the court if the attorney has a connection to or a relationship with a nonparty recipient of the distribution that could reasonably create the appearance of impropriety as between the selection of the recipient of the money or thing of value and the interests of the class.” (CCP § 382.4.) The needed information must be provided “in connection with the hearing for preliminary approval[.]” The settlement states that “The Parties, Class Counsel and Defense Counsel represent that they have no interest or relationship, financial or otherwise with the intended Cy Pres Recipient.” (Settlement, Par. 4.3.3.) This is sufficient to satisfy that requirement. In addition, the cy pres recipient must be qualified under Code of Civil Procedure section 384(b), which requires that cy pres funds be provided “to nonprofit organizations or foundations to support projects that will benefit the class or similarly situated persons, or that promote the law consistent with the objectives and purposes of the underlying cause of action, to child advocacy programs, or to nonprofit organizations providing civil legal services to the indigent[.]” Initially, the moving papers did not include any representation as to the activities or status of “No Kid Hungry,” or otherwise establish how it meets the requirements of Code of Civil Procedure sections 382.4 and 384(b). At the Court’s request, counsel have filed two declarations establishing that “No Kid Hungry” qualifies as a “child advocacy” program.

The settlement contains release language covering the “Release by Participating Class Members, which covers “all claims that were alleged, or reasonably could have been alleged, based on the Class Period facts stated in the Operative Complaint and ascertained in the course of the Action[.]” (Settlement, Par. 5.3.) Under recent appellate authority, the limitation to those claims with the “same factual predicate” as those alleged in the complaint is critical. (*Amaro v. Anaheim Arena Mgmt., LLC* (2021) 69 Cal.App.5th 521, 537 [“A court cannot release claims that are outside the scope of the allegations of the complaint.”] “Put another way, a release of claims that goes beyond the scope of the allegations in the operative complaint’ is impermissible.” (*Id.*, quoting *Marshall v. Northrop Grumman Corp.* (C.D. Cal.2020) 469 F.Supp.3d 942, 949.)

Informal written discovery was undertaken. The matter settled after arms-length negotiations, which included a session with an experienced mediator.

Counsel attest that they have analyzed the value of the case, and that the result achieved in this litigation is fair, adequate, and reasonable. The moving papers include an estimate of the potential value of the case, broken down by each type of claim.

The potential liability needs to be adjusted for various evidence and risk-based contingencies, including problems of proof. PAGA penalties are difficult to evaluate for a number of reasons: they derive from other violations, they include “stacking” of violations, the law may only allow application of the “initial violation” penalty amount, and the total amount may be reduced in the discretion of the court. (See Labor Code, § 2699(e)(2) [PAGA penalties may be reduced where “based on the facts and circumstances of the particular case, to do otherwise would result in an award that is unjust arbitrary

and oppressive, or confiscatory.”))

Counsel attest that notice of the proposed settlement was transmitted to the LWDA concurrently with the filing of the motion.

B. Legal Standards

The primary determination to be made is whether the proposed settlement is “fair, reasonable, and adequate,” under *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1801, including “the strength of plaintiffs’ case, the risk, expense, complexity and likely duration of further litigation, the risk of maintaining class action status through trial, the amount offered in settlement, the extent of discovery completed and the state of the proceedings, the experience and views of counsel, the presence of a governmental participant, and the reaction ... to the proposed settlement.” (See also *Amaro v. Anaheim Arena Mgmt., LLC, supra*, 69 Cal.App.5th 521.)

Because this matter also proposes to settle PAGA claims, the Court also must consider the criteria that apply under that statute. Recently, the Court of Appeal’s decision in *Moniz v. Adecco USA, Inc.* (2021) 72 Cal.App.5th 56, provided guidance on this issue. In *Moniz*, the court found that the “fair, reasonable, and adequate” standard applicable to class actions applies to PAGA settlements. (*Id.*, at 64.) The Court also held that the trial court must assess “the fairness of the settlement’s allocation of civil penalties between the affected aggrieved employees[.]” (*Id.*, at 64-65.)

California law provides some general guidance concerning judicial approval of any settlement. First, public policy generally favors settlement. (*Neary v. Regents of University of California* (1992) 3 Cal.4th 273.) Nonetheless, the court should not approve an agreement contrary to law or public policy. (*Bechtel Corp. v. Superior Court* (1973) 33 Cal.App.3d 405, 412; *Timney v. Lin* (2003) 106 Cal.App.4th 1121, 1127.) Moreover, “[t]he court cannot surrender its duty to see that the judgment to be entered is a just one, nor is the court to act as a mere puppet in the matter.” (*California State Auto. Assn. Inter-Ins. Bureau v. Superior Court* (1990) 50 Cal.3d 658, 664.) As a result, courts have specifically noted that *Neary* does not always apply, because “[w]here the rights of the public are implicated, the additional safeguard of judicial review, though more cumbersome to the settlement process, serves a salutary purpose.” (*Consumer Advocacy Group, Inc. v. Kintetsu Enterprises of America* (2006) 141 Cal.App.4th 48, 63.)

C. Attorney fees

Plaintiff seeks one-third of the total settlement amount as fees, relying on the “common fund” theory. Even a proper common fund-based fee award, however, should be reviewed through a lodestar cross-check. In *Lafitte v. Robert Half International* (2016) 1 Cal.5th 480, 503, the Supreme Court endorsed the use of a lodestar cross-check as a way to determine whether the percentage allocated is reasonable. It stated: “If the multiplier calculated by means of a lodestar cross-check is extraordinarily high or low, the trial court should consider whether the percentage used should be adjusted so as to bring the imputed multiplier within a justifiable range, but the court is not necessarily required to make such an adjustment.” (*Id.*, at 505.) Following typical practice, however, the fee award will not be considered at this time, but only as part of final approval. Counsel will be

directed to provide a lodestar figure for any hearing on final approval.

Similarly, litigation costs and the requested representative payment of \$10,000 total for plaintiffs will be reviewed at time of final approval. Criteria for evaluation of representative payment requests are discussed in *Clark v. American Residential Services LLC* (2009) 175 Cal.App.4th 785, 804-807.

D. Conclusion

The issue concerning the cy pres recipient has been resolved. Accordingly, the Court finds that the proposed settlement is sufficiently fair, reasonable, and adequate to justify preliminary approval.

Counsel are directed to prepare an order reflecting this tentative ruling, the other findings in the previously submitted proposed order, and to obtain a hearing date for the motion for final approval from the Department clerk. As of March 1, 2026, this matter is assigned for all purposes to Department 16, the Honorable Benjamin Reyes. The hearing on the motion for final approval will be held in that Department. Other dates in the scheduled notice process should track as appropriate to the hearing date. The ultimate judgment must provide for a compliance hearing after the settlement has been completely implemented. Plaintiffs' counsel are to submit a compliance statement one week before the compliance hearing date. 5% of the attorney's fees are to be withheld by the claims administrator pending satisfactory compliance as found by the Court.

22. 9:00 AM CASE NUMBER: C25-01327

CASE NAME: MARIA ESTANTE VS. NOCD FLORIDA BEHAVIORAL HEALTH, P.A.

***HEARING ON MOTION IN RE: TO SET ASIDE DEFAULT**

FILED BY:

TENTATIVE RULING:

A declaration attaching a proposed answer was filed and served before the hearing on January 29, 2026. Accordingly, the motion to set aside default is granted, in conformance with the Court's tentative ruling issued January 28, 2026. Defendant is to file the proposed answer no later than ten days after notice of entry of this order.